Wonder

STRICTLY PRIVATE & CONFIDENTIAL
February 2024

pinnacle capital INTERNATIONAL

Wonder Group Inc. | SAFE note

Venture Capital | Single Asset Fund

Investment Overview

Unique opportunity to participate in the SAFE [1] note of **Wonder**, a US-based food-technology company looking to disrupt the restaurant and food delivery industry that is expected be a $1 trillion market by 2035, targeting to achieve $100b topline – similar to how Amazon disrupted the retail space but with 4x Amazon's margins. Wonder was founded in 2018 by serial entrepreneur Marc Lore, who has successfully exited two businesses in the past for a cumulative total of c.$3.5b (*Please see video provided in the Dataroom*).

This investment offers a **guaranteed 40% gross IRR** upon a successful liquidation event (with an IPO in 2027 as the base case). We have strong conviction in Wonder's ability to provide these returns based on its proven product-market fit, achievable business plan given its easily scalable business model in a large market, and attractive SAFE note terms with significant downside protection (*detailed in page 2 and 3*).

PCI investors participated in Wonder's Series B in May 2022, and PCI has continuously monitored and analyzed the progress given our direct access with the founder and board observer access. The impressive progress since our initial investment has strengthened our confidence in this opportunity and its return potential, bolstering our conviction to recommend investors to participate in this new round.

NEA Source	Gross returns 2.7x – 5.4x MOIC 40% IRR	Net returns 2.3x MOIC and 32% IRR 4.4x MOIC and 34% IRR (2027 / 2029)
$500-750M Round size	3-5 years Target holding period	1.5x Liquidation preference

Key investors	NEA	Google ventures	Bain Capital	Accel	Nestlé
Commitments to previous rounds	c.$245m	c.$163m	c.$45m	c.$75m	-
Commitments to current round	c.$85m	c.$45m	c.$5m	-	c.$100m

Company Overview

1. The Problem

The US food delivery market has seen significant growth in recent years, growing to $87B in 2023 and is poised for 10% annual growth until 2028 driven by widespread adoption of digital food delivery services in the c.$550b food market. Despite this large and growing market, incumbent players and their business models have constraints, resulting in low customer satisfaction.

Constraints of Delivery Aggregators

Poor & inconsistent food quality
Lack of control over food preparation leads to inconsistent and sometimes poor food quality

Extended delivery time
Difficulties in managing orders from multiple restaurants, and often outsourced delivery partners, leading to extended travel times for delivery riders

Constraints in the wider Food Industry

Lack of access
Consumers are constrained by the food options available in their neighborhoods and artisan restaurants avoid delivery

Resource-intensive industry
Challenges in establishing, maintaining and scaling full-service kitchens and extensive staffing

Decentralized/fragmented solutions, leading to **low customer satisfaction**

2. The Solution

Wonder Group Inc. aspires to transform the Food Industry and redefine culinary experience for customers, heightening their satisfaction. Through its proprietary Food and Kitchen Technology and diverse food offering, the company seeks to deliver revolutionary culinary experiences across various business lines.

Wonder Group

High Density Restaurants (HDR)	Blue Apron (Meal prep)	WonderWorks (B2B)	3P Delivery (Delivery aggregator)

Perpetual rights to iconic food brands and chefs

A new and disruptive food delivery category, bringing the experience of artisan, fine-dining quality meals as well as renowned fast casual chains all prepared at a fast pace by lightly trained labor with minimal waste. This is enabled by proprietary technology, operational efficiency and perpetual rights to iconic food brands and chefs. Customers can choose to enjoy Wonder's food at home or dine-in.

Fast Fine via renowned Chefs

Bobby Flay:
3x James Beard Winner
Culinary Hall of Fame

Jose Andres:
2 Michelin Stars
Nobel Peace Prize Nominee

Nancy Silverton:
1 Michelin Star
3x James Beard Winner

"They've proven that they can do an amazing job, this could be the future of the way we're eating at home"
(Bobby Flay, Celebrity Chef)

...to Fast Casual Chains

Blue Apron

Wonder further expanded its food offering through the acquisition of Blue Apron, a meal kit company. In 2023, Blue Apron had a GOV ARR of $378m.

Unique Proprietary Food and Kitchen Technology

Wonder's solution is made possible by hundreds of millions invested in its proprietary technology platform built and tested over the last 5 years and its unparalleled operational excellence (*Please see video provided in the Dataroom*).

3 Proprietary Equipment that can handle **40** different cuisines for each outlet

Impingement Oven | Ventless Fryer | Water Bath

Culinary Engineering to prepare an artisan-quality meal with rapid speed

9.5/10 Taste Score

6 minutes | 4.5 minutes | 1.5 minutes

First and only Vertically Integrated Platform for Food Delivery

Wonder aims to be the go-to platform for at-home dining (Wonder's core business line). It achieves this through a unique vertically integrated platform.

Wonder controls every aspect of the process – from its front-end app, creating content and leveraging user data, sourcing of restaurants, re-engineering of recipes, sourcing premium ingredients, preparing dishes, to extending its services to efficient last-mile delivery.

High-Density Restaurants ("HDRs")

Customized, physical multi-restaurants enabling a streamlined, flexible and scalable cooking process.

- **Variety:** Offer 40 artisan quality restaurants within a 3000 sq. ft. area
- **Access:** Offer multiple high-quality menus, tailoring them to match the constantly evolving tastes and preferences unique to various geographical regions
- **Flexibility:** Adapt swiftly to evolving tastes by integrating new artisan quality cuisines; ability to offer new restaurants overnight

One location, one delivery

Allowing efficient last-mile delivery and "multi-restaurant" ordering, a feature not offered by any other delivery player and a game changer for families with members that have different food preferences.

	Wonder	DoorDash / Uber Eats / Grubhub
Multi-restaurant ordering	✓	✗
Order-to-Eat Time	30 min.	c. 50 min.
Delivery Transit Time	5 min.	c. 15 min.
On-time Rate	94%	c. 85%

Wonder's complementary business lines

- **WonderWorks:** Wonder licenses or sells its proprietary food technology to enterprise customers in various sectors. This enables these businesses to enhance culinary offerings, improve labor efficiencies, and streamline operations without the need for full-service kitchens and extensive staffing. With 99% customer retention in 2023 and currently live at 110 locations, WonderWorks boasts a strong clientele.
- **Third-Party Delivery:** Marketplace within the Wonder app for customers to order from external restaurants.

[1] SAFE Note: Simple Agreement for Future Equity

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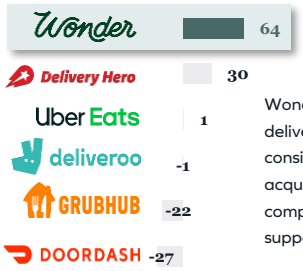
Why do we believe Wonder can achieve a 40% gross IRR at IPO or liquidity event?

1. Strong Product Market fit and Impressive Current Performance

High Customer Satisfaction Rating ("NPS")



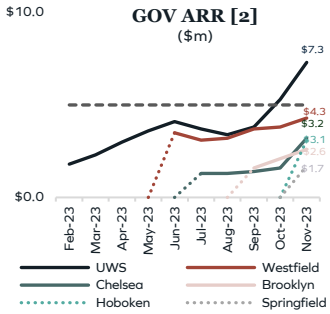
>c.60% 14-day repeat rate across all HDRs

20x LTV/CAC

$48 vs $35 Average Order Value Wonder vs DoorDash

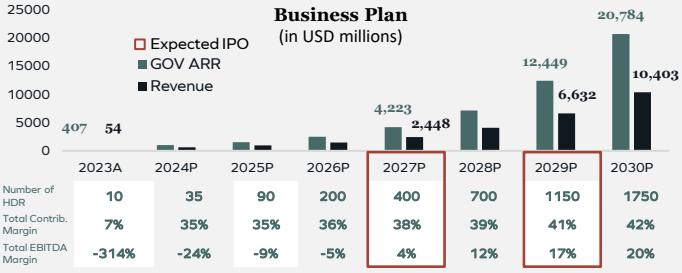
Wonder's ability to constantly provide artisan quality food that is delivered fast and hot, is reflected in its operational metrics indicating consistently high repeat rates across all HDRs despite a low customer acquisition cost, and higher average order value compared to competitors. Our conviction regarding the product market fit is further supported by its industry-leading NPS [1].

Impressive Overall Growth in Core Business



- In 2023, **0 to 10 HDRs** and **0 to $25m GOV ARR**
- January 2024 HDR sales puts Wonder at a **$38m GOV ARR;** prelim February 2024 HDR sales suggests a **$49m GOV ARR**
- First HDR up from **$1.8m to $7.3m GOV ARR [1]** within 1 year (compared to McDonald's $3.6m on average), at a **CMGR [3] of 17%,** and reached EBITDA breakeven
- Other HDRs, such as Chelsea and Brooklyn, are growing at even higher **CMGRs of 25%+** (potential to add over $5B+ GOV ARR).

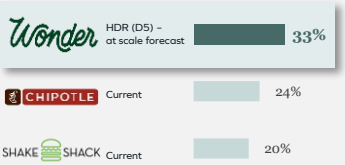
2. Promising Trajectory and Achievable Business Plan



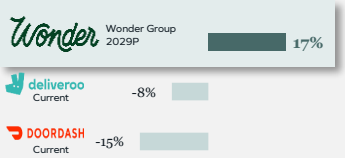
	2023A	2024P	2025P	2026P	2027P	2028P	2029P	2030P
Number of HDR	10	35	90	200	400	700	1150	1750
Total Contrib. Margin	7%	35%	35%	36%	38%	39%	41%	42%
Total EBITDA Margin	-314%	-24%	-9%	-5%	4%	12%	17%	20%

With rapid expansion in its HDR business, and supplementary growth from other business lines (Blue Apron), Wonder has a clear path to achieve $2.5b in revenue by 2027P – primarily led by the HDR business given its impressive traction and strong unit economics.

EBITDA Margin (Wonder vs. Restaurants)



EBITDA Margin (Wonder vs. Delivery aggregators)



Moreover, compared to delivery aggregator incumbents that have been in the market for 10+ years (Deliveroo and DoorDash) and traditional F&B players, Wonder has the potential to yield better margins and reach profitability quicker due its superior business model (high GOV per unit), strategic acquisition of Relay to drastically reduce delivery cost (~45%), and attractive production partnership with FreshRealm.

Wonder has a highly scalable business model, ripe for expansive top line growth

Wonder's model and technology enable seamless scalability, particularly for its HDR business line, employing a hub-and-spoke framework. The food undergoes mass preparation and blast chilling, ensuring quality and an extended shelf life without freezing. Subsequently, the prepared food is delivered to HDRs, where lightly trained staff utilize Wonder's technology to efficiently prepare artisan-quality meals. This streamlined operational model, bolstered by innovative technology, positions Wonder for swift scalability, alleviating the Company from operational complexities such as sourcing highly trained chefs and reconfiguring supply chain logistics for each new HDR opening. With a proven track record demonstrated through 10 HDRs and its easily scalable business model, in our view that Wonder's business plan is realistic and achievable and simply contingent on:

1. Successful execution – Replicating its proven success by establishing new HDRs. Notably, Wonder has already identified 700 densely populated areas for potential new locations.

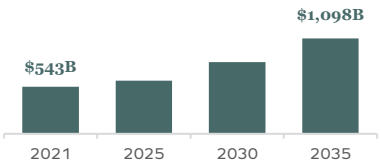
2. Capital for HDRs - Securing the necessary capital to fund HDR capital expenditures, a feat that Wonder has consistently achieved in the past. This is underscored by repeat investments from prominent VCs who continue to support the Company.

Why do we think the business plan is achievable?

Attractive Market and Strong Market Dynamics and White Space for Wonder to Grow

With Wonder's solid product-market fit (*see section above*), we have confidence in its capacity for significant growth. The **(A)** large and appealing market with extensive opportunities for expansion, and **(B)** the successful growth paths of its peers - despite lower customer satisfaction or limited menu— gives us conviction in Wonder's ability to achieve its business plan.

(A) Large appealing market with extensive opportunities for expansion



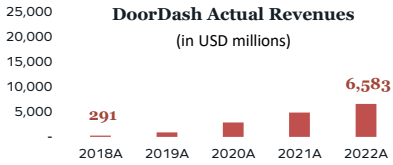
High number of food outlets in the NY Tri-State Area only, proxy for high demand and potential for HDR growth

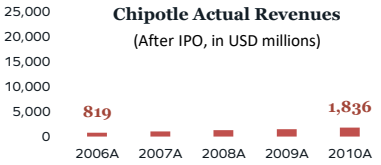
McDonald's **550** outlets

Domino's Pizza **280** outlets

Chipotle Mexican Grill **190** outlets

(B) Successful growth paths of its peers - despite lower customer satisfaction/ limited menu





Wonder's revenue plan bears resemblance to that of its peers who have previously achieved similar growth trajectories. For instance, (i) DoorDash grew at a 120% CAGR despite operating with a take-rate model and inconsistent service with poor customer satisfaction rating, and (ii) Chipotle grew at a 20% CAGR after its IPO in 2006 despite offering a single menu (average GOV per branch of $2.8m). One the other hand, Wonder, with its exceptional customer ratings and superior business model (high GOV/HDR) is positioned to grow at an even faster pace.

Other avenues of growth

Walmart – Wonder unveiled new, smaller kitchen formats which will now be launched with major retailers like Walmart (140m annual shoppers)

Blue Apron – Wonder acquired Blue Apron – a meal and recipe kit company with **$378m GOV ARR** that will extend Wonder's offerings – another leap towards its vision to become a super-app for mealtime and result in various platform synergies.

Nestlé – Wonder has successfully secured a B2B partnership with Nestlé (collaboration including a $100m investment) and will help Wonder reach/acquire new B2B customers.

Strong leadership and top management in service of strategy execution

With a proven track record of founding and scaling multi-billion-dollar businesses, Marc Lore brings strategic leadership to Wonder. Always backed by leading VCs, he has a history of generating strong returns for investors, instilling confidence in his ability to revolutionize the food industry.

jet, Walmart, Quidsi, amazon – Sold for $3b to Walmart where he grew ecommerce sales from $5b to $50b in 4 years. Sold for $0.5b to Amazon

The Company's foundation is further strengthened by an experienced C-suite and a team of 200+ software and culinary engineers and scientists.

Jay Naik	Kelley Morrell	James Chen	Daniel Shlossman	Sanjay Khetan
President, S&P Capital IQ	CFO, Blackstone	CTO, amazon	Uber	CPO, PEPSICO

[1] Net Promotor Score [2] GOV ARR: Gross Order Value Annualized Run Rate [3] CMGR: Compound Monthly Growth Rate

3. Achievable business plan and attractive terms that offers a 40% gross IRR

The SAFE note offers attractive terms, guaranteeing a 40% gross IRR at a successful liquidity event. Depending on the timing of the Wonder's IPO (preferred exit route) – investors can make a 2.7x to 5.4x gross MOIC at the IPO price. Moreover, there is significant further upside potential regardless of when Wonder offers its IPO (2027 or 2029) - considering Wonder's current and prospective expansion, the management envisions reaching a valuation of $60-$100b in 5-6 years (potentially generating a 10x+ gross MOIC for both scenarios if investors hold on to their shares post IPO). For reference, DoorDash despite its negative NPS of 27 (i.e., dissatisfied customers) has a market capitalization of ~$43b as of Feb 2024 and $8b in LTM 2023 revenue.

In the event of a downside case, where Wonder hypothetically fails to grow and exit successfully, investors are protected by a 1.5x liquidation preference, which can be achieved at a valuation over $1.7b – and given Wonder's GOV ARR of $407m as of Dec-2023 and a 5x EV/Revenue multiple (industry median), it has already achieved this valuation.

			Exit assumptions, based on $500m SAFE round			
			Initial Returns			Potential Further Upside
	Exit options	SAFE note terms	Expected gross MOIC at IPO	Expected valuation at IPO considering 5x-8x EV/Revenue Multiple	Management's expected revenue	Management's expected valuation in 5-6 years (post IPO)
Scenario 1 Early IPO	IPO in 2027	**Guaranteed 40% gross IRR** at any IPO price*	**2.7x**	$12.5b to $20b	$2.4b	$60b to $100b
Scenario 2 Later IPO	IPO in 2029	**Guaranteed 40% gross IRR** at any IPO price*	**5.4x**	$33b-$53b	$6.6b	$60b to $100b
Scenario 3 Downside Case	Liquidation if no successful exit	**1.5x liquidation preference**	Investors can recoup 1.5x if valuation is equal to or exceeds $1.7b (debt of ~$175m and preferred stack of ~$1.5b) in the event of a downside case IPO or without a successful exit			

4. Investors can achieve 40% gross IRR via a significantly lower valuation and lower corresponding revenue

While the 40% gross IRR can be achieved at an even lower valuation of ~$2.5b to ~$3.0b, in our view, the minimum valuations Wonder would consider would be $5.0b to ~$6.5b for an exit as this valuation would ensure that all previous round investors, who did not get this round's favorable terms, would make a return on their capital or at the very least recoup their initial investment.

			Exit assumptions, based on $500m SAFE round		
			Initial Returns		
	Exit options	SAFE note terms	Expected gross MOIC at IPO	Minimum Valuation for IPO	Minimum revenue needed for 40% gross IRR based on minimum exit valuation and conservative 5x EV/Revenue multiple
Scenario 1 Early IPO	IPO in 2027	**Guaranteed 40% gross IRR** at any IPO price*	**2.7x**	c.$5.0b	$1.0b
Scenario 2 Later IPO	IPO in 2029	**Guaranteed 40% gross IRR** at any IPO price*	**5.4x**	c.$6.5b	$1.3b

While in our view, Wonder can achieve its business plan and achieve the targeted high valuations at IPO, it is important to note that current round investors will achieve the 40% gross IRR even in the event of Wonder exiting at considerably lower valuations, given the current round's attractive terms.

The lowest possible valuations that Wonder would consider for a successful exit in 2027 is c.$5b and c.$6.5b in 2029. These valuations ensure that all previous round investors realize a return on their investment or, at the very least, recoup their initial investment. Consequently, based on these minimum valuations, Wonder would only need to generate revenues of $1b in 2027 or $1.3b in 2029 to meet the minimum thresholds that would guarantee investors a 40% gross IRR based on a conservative 5x EV/Revenue multiple (industry median).

We believe that the minimum revenues required in 2027 ($1b) and 2029 ($1.3b) are highly achievable

Derisked Investment opportunity

1. HDRs alone can provide minimum revenues required for 40% gross IRR

The HDR business line, with its easily scalable model and proven traction, can independently scale to meet the required minimum revenues.

GOV ARR per HDR	Number of HDRs required	
$5M *(Conservative)*	200-260	Meet the minimum revenues for the 40% Gross IRR in 2027 and 2029
$7.5M	133-173	

Considering the number of outlets that Wonder's peers have, these numbers of HDRs are highly achievable. Wonder has already identified 700 densely populated areas for potential new locations.

2. Additional business lines

Apart from the core HDR business, Wonder has multiple other business lines including Blue Apron, WonderWorks (B2B), 3P Delivery, etc. that increase the overall appeal of the platform, and can provide a meaningful uplift in the topline. For reference, Blue Apron had $378m GOV ARR as of Dec-23. As such, these additional business lines will also help place Wonder closer to the minimum revenues required for the 40% gross IRR.

3. Higher EV/Revenue multiple will significantly decrease minimum revenues required for 40% gross IRR

Given Wonder's higher margins and faster growth rate in the industry, it has the potential to warrant an even higher EV/Revenue multiple of 8x, which would further lower the minimum revenues and the corresponding growth levers required for investors to achieve the 40% gross IRR.

Key risks and mitigants

Generous and Better Than Usual Investment Terms Usually Suggest Hidden Red Flags: Attractive terms, like the ones offered in this round, in our view, often indicate challenges in the business or fundraising processes. Mitigant: In our view, these attractive terms essentially represent Mr. Lore's and the previous investors' (who have board seats) conviction in Wonder and its ability to achieve the business plan and command the targeted valuations. By offering these terms, Mr. Lore is not only putting his own ownership, personal capital, and potential net worth at risk of dilution but also his reputation at risk – as a serial entrepreneur, he has built a track record of consistently generating returns for his investors.

Given these investment terms, Mr. Lore will be strongly aligned with current round investors for a timely exit at the targeted valuations. A lower-than-expected valuation at the time of targeted exit will still guarantee current round investors their 40% gross IRR but at the expense of existing shareholders (including Mr. Lore who owns ~55% Wonder) due to higher-than-expected dilution. However, in the event that Mr. Lore delays the exit due to not receiving an attractive valuation, current round investors will still receive their 40% gross IRR during the eventual exit, but Mr. Lore will run the risk of significantly diluting himself and previous round investors, especially if there is no significant uplift in valuation despite delaying the exit. Therefore, given this structure, Mr. Lore will need to balance both the exit valuation and timeline of exit, thereby aligning him with current round investors. Moreover, in our view, repeat investments by previous round investors, especially those who hold board seats and run the risk of dilution given current round terms.

Operationally Intensive Business / Execution Risk: Wonder anticipates launching and operating 400 and 700 HDRs by 2027E and 2028E, respectively, with the HDR segment projected to become the primary revenue contributor from 2026P onwards (expected to constitute 60% of revenue in 2027P). The ambitious growth plan necessitates robust operational capabilities. While Wonder has demonstrated operational strength, the acquisitions of Blue Apron and Relay may also pose challenges in integrating these businesses onto Wonder's platform and steering them according to projected trajectories. Mitigant: Mr. Lore has founded, built and executed large businesses (exiting them at a cumulative EV ~$3.5b) prior to founding Wonder. Moreover, Mr. Lore also displayed his ability to swiftly adapt and pivot business models when required, pivoting methodically yet seamlessly from Mobile Restaurants to HDRs at Wonder. The above provides us with conviction regarding Mr. Lore and Wonder's leadership to execute Wonder's business plan at scale and adapt and pivot if major challenges arise.

Capital-Intensive Business Plan: : Over the next four years, Wonder plans to raise up to $1.4 billion in additional capital, with potentially $150 – $350 million through a SAFE note in 2025 (may not be required, depending on the size of this round) and $1 billion in its IPO in 2027. We understand that in case it is unable to raise the required capital in a timely manner, Wonder will cut back on its R&D spending to ensure that HDR expansion remains on track. Therefore, in our view, failure to raise capital may impact the continuous technological improvements at Wonder. Mitigant: Given Wonder's strong value proposition as well as growth potential and Mr. Lore's competence as a successful serial entrepreneur, we gain comfort in the Company's ability to raise the required capital in the future. This has been strengthened by repeated and fresh commitments from leading VC firms and institutions such as NEA, Accel, Google Ventures, Bain Capital and Nestle to Wonder, showcasing their willingness to support the Company for its future growth plans. Moreover, in the unlikely event of a downside case that may occur due to Wonder's inability to raise capital, the Company only has to reach a valuation of ~$1.7b for the preferred stack to recoup its 1.5x. Please note that the Company is targeting $600m revenue in 2024E, and even with a lower-than-market multiple of 3.0x, the Company can attract a valuation of $1.7b; therefore, this investment is significantly de-risked despite Wonder's significant capex requirements.

Investment Summary & Key Terms

Sector | Geography	Food Tech | International – United States
Expected Hold Period	3 to 5 years
Round Size | Instrument	$500-750m | SAFE Note
Use of Proceeds (Based on $500m SAFE note)	34% for HDR Capex | 25% for Culinary Engineering | 24% for Corporate Overheads | 3% for Merger & Acquisition |14% for Miscellaneous Expenses
Raised till Date (Since inception, prior to SAFE note)	$810m
Terms	Current round investors will be converted at the time of IPO or liquidity event at a conversion value that provides a 40% IRR to the exit valuation; 1.5x liquidation preference
Target Returns (Gross)	2.7x - 5.4x gross MOIC | 40% IRR
Target Returns (net of PCI fees)	2.3x net MOIC & 32% net IRR (IPO in 2027) - 4.4x net MOIC & 34% net IRR (IPO in 2029)
Management Fees	**PCI**: 2.0% p.a. of committed capital
Performance Fees	**PCI**: 20% performance fee above a 1.5x minimum return hurdle with full catch-up

Disclaimer: *It is important to note that past performance is not indicative of future results, and the value of investments can fluctuate. Additionally, market conditions and economic factors can change, impacting the performance of investments. This report has been prepared by PCI MENA Limited. It is based on information made available by Wonder and supplemented with external research. PCI has not independently verified this information, but rather has relied upon and assumed the accuracy and completeness thereof. PCI expressly denies any and all liability for representations and warranties, expressed or implied, contained herein, or for omissions from the report. Any forecasts or projections contained herein are based on information available at the time this document was prepared and there is no representation, warranty or other assurance that any of the forecasts or projections will be realized.*